

ISLAMIC UNIVERSITY OF TECHNOLOGY (IUT)
ORGANISATION OF ISLAMIC COOPERATION (OIC)

DEPARTMENT OF BUSINESS AND TECHNOLOGY MANAGEMENT

Mid-Semester Examination

Course No. : Hum 4641

Course Title : Accounting

Summer Semester: A. Y 2024-2025

Time : 1.5 hours

Full Marks : 75

Answer **all 3 (three)** questions. All questions carry equal marks. Marks of each question and corresponding CO and PO are written in the right margin with brackets.

1. Barone's Repair Shop was started on June 1 by Nancy Barone. A summary of June transactions is presented below.

- i. Invested \$10,000 cash to start the repair shop. ✓
- ii. Purchased equipment for \$5,000 cash. ✓
- iii. Paid \$400 cash for May office rent. ✓
- iv. Paid \$500 cash for supplies. ✓
- v. Incurred \$250 in advertising costs in the Beacon News accounted.
- vi. Received \$5,100 in cash from customers for repair service.
- vii. Withdrew \$1,000 cash for personal use.
- viii. Paid part-time employee salaries \$2,000. ✓
- ix. Paid utility bills \$140.
- x. Provided repair service on account to customers \$750.
- xi. Collected cash of \$120 for services billed in transaction (10).

Instructions:

- a) Prepare a tabular analysis of the transactions, using the following column headings: 10 (CO1)
Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, N. Barone, (PO1)
Capital; N. Barone, Drawings; Revenues, and Expenses.
- b) Prepare the income statement, owner's equity statement, and balance sheet on June 30 15 (CO1)
for Barone's Repair Shop. (PO1)
2. Jane Kent is a licensed CPA. During the first month of operations of her business, the 25 (CO2)
following events and transactions occurred. (FO1)

May 1 Kent invested \$25,000 in cash.

- 2 Hired a secretary-receptionist at a salary of \$2,000 per month.
- 3 Purchased \$2,500 of supplies on account from Read Supply Company.
- 7 Paid office rent of \$900 cash for the month.
- 11 Completed a tax assignment and billed client \$2,100 for services provided.
- 12 Received \$3,500 advance on management consulting engagement.
- 17 Received cash of \$1,200 for services completed for H. Arnold Co.
- 31 Paid secretary-receptionist \$2,000 salary for the month.
- 31 Paid 40% of balance due Read Supply Company.

Jane uses the following chart of accounts: No. 101 Cash, No. 112 Accounts Receivable, No. 126 Supplies, No. 201 Accounts Payable, No. 205 Unearned Revenue, No. 301 Jane Kent, Capital; No. 400 Service Revenue, No. 726 Salaries Expense, and No. 729 Rent Expense

Instructions: Journalize the transactions and post to the ledger accounts.

3. Neosho River Resort opened for business on June 1 with eight air-conditioned units. Its trial balance before adjustment on August 31 is as follows. 25 (CO2) (P10)

NEOSHO RIVER RESORT

Trial Balance
August 31, 2024

Account no.	Account name	Debit	Credit
101	Cash	\$ 19,600	
126	Supplies	3,300	
130	Prepaid Insurance	6,000	
140	Land	25,000	
143	Cottages	125,000	
149	Furniture	26,000	
201	Accounts Payable		\$ 6,500
209	Unearned Rent Revenue		7,400
275	Mortgage Payable		80,000
301	P. Harder, Capital		100,000
306	P. Harder, Drawing	5,000	
429	Rent Revenue		80,000
622	Repair Expense	3,600	
726	Salaries Expense	51,000	
732	Utilities Expense	9,400	
	Total	<u>\$273,900</u>	<u>\$273,900</u>

In addition to those accounts listed on the trial balance, the chart of accounts for Neosho River Resort also contains the following accounts and account numbers: No. 112 Accounts Receivable, No. 144 Accumulated Depreciation-Cottages, No. 150 Accumulated Depreciation-Furniture, No. 212 Salaries Payable, No. 230 Interest Payable, No. 620 Depreciation Expense-Cottages, No. 621 Depreciation Expense-Furniture, No. 631 Supplies Expense, No. 718 Interest Expense, and No. 722 Insurance Expense.

Other data:

- Insurance expires at the rate of \$400 per month.
- The count on August 31 shows \$600 of supplies on hand.
- Annual depreciation is \$6,000 on cottages and \$2,400 on furniture.
- Unearned rent revenue of \$4,100 was earned prior to August 31.
- Salaries of \$400 were unpaid on August 31.
- Rentals of \$1,000 were due from tenants on August 31. (Use Accounts Receivable.)
- The mortgage interest rate is 9% per year. (The mortgage was taken out on August 1.)

Instructions:

- i. Journalize the *adjusting entries* on August 31 for the 3-month period June 1, August 31.
- ii. Prepare a ledger and enter the trial balance amounts and post the *adjusting entries*. (Use J1 as the posting reference.)
- iii. Prepare an adjusted trial balance on August 31.